UNITED STATES BANKRUPTCY COURT
DISTRICT OF CONNECTICUT
BRIDGEPORT DIVISION

In re: HO WAN KWOK, et al., Debtors.	Chapter 11 Case No. 22-50073 (JAM) (Jointly Administered)
LUC A. DESPINS, CHAPTER 11 TRUSTEE, Plaintiff, v. 1STDIBS.COM INC., Defendant.	Adv. Pro. No. 25-05088 (JAM) Dated: August 15, 2025

COMPLAINT OF CHAPTER 11 TRUSTEE SEEKING AVOIDANCE AND RECOVERY OF POSTPETITION TRANSFERS AND RELATED RELIEF PURSUANT TO BANKRUPTCY CODE SECTIONS 549 AND 550

Luc A. Despins, in his capacity as the chapter 11 trustee (the "Trustee") appointed in the chapter 11 case (the "Chapter 11 Case") of Ho Wan Kwok (the "Debtor" or "Kwok"), files this adversary complaint (the "Complaint") against defendant 1stdibs.com Inc. (the "Defendant"), stating as follows:

NATURE OF ACTION

1. The Trustee commences this adversary proceeding to avoid and recover transfers of property of the Debtor's chapter 11 estate after the commencement of this Chapter 11 Case and not authorized by the Bankruptcy Court or under Title 11 of the United States Code (the "Bankruptcy Code").

2. The Debtor, through his alter-ego shell company Hamilton Opportunity Fund SPC ("Hamilton Opportunity") through its conduit Buck Esq LLC ("Buck Esq"), transferred funds in the amount of $1,415,104.95 after the Petition Date (as defined herein) to the Defendant as the initial transferee.

3. Because these postpetition transfers of estate property were not authorized by the Court or under the Bankruptcy Code, they are subject to avoidance and recovery under sections 549 and 550 of the Bankruptcy Code.

JURISDICTION AND VENUE

4. This Court has subject matter jurisdiction over this adversary proceeding pursuant to 28 U.S.C. § 1334(b).

5. This adversary proceeding has been referred to this Court pursuant to 28 U.S.C. § 157(a).

6. The statutory predicates for the relief sought herein include sections 549 and 550 of the Bankruptcy Code.

7. The Trustee [does not consent] to the entry of final orders or judgment by the Bankruptcy Court.

THE PARTIES

8. The Trustee is the chapter 11 trustee in the Chapter 11 Case pursuant to the Bankruptcy Court's order entered on July 8, 2022 [Case No. 22-50073 (the "Main Case") Docket No. 523].

9. The Defendant is a New York corporation located at 300 Park Avenue South, 10th Floor, New York, NY 10010.

FACTS

A. Chapter 11 Case

10. The Debtor filed a voluntary petition for relief under Chapter 11 of the Bankruptcy Code on February 15, 2022 (the "Petition Date") in the United States Bankruptcy Court for the District of Connecticut (the "Court" or the "Bankruptcy Court"), thus commencing the Chapter 11 Case.

11. On March 21, 2022, the Office of the United States Trustee appointed an Official Committee of Unsecured Creditors in this Chapter 11 Case. No examiner has been appointed.

12. The Debtor's bankruptcy schedules, filed in March 2022 with the Bankruptcy Court, claimed that he owned $3,850 in assets and had incurred hundreds of millions of dollars of liabilities. While the Debtor was, indeed, deeply indebted, his schedules failed to disclose the Debtor's property as held and/or transferred through his many alter ego shell companies, including Hamilton Opportunity.

13. On June 15, 2022, the Bankruptcy Court entered a memorandum of decision and order [Main Case Docket No. 465] directing the United States Trustee to appoint a chapter 11 trustee in the Chapter 11 Case. Pursuant to this order, the United States Trustee selected Luc A. Despins as the Trustee. On July 8, 2022, the Bankruptcy Court entered an order granting the appointment of Luc A. Despins as the Trustee in the Chapter 11 Case [Main Case Docket No. 523].

B. Debtor's Use of Shell Companies and Trustee's Adversary Proceedings

14. Hamilton Opportunity is among the numerous alter ego shell companies used by the Debtor to hinder, delay, and/or defraud his creditors. For years, the Debtor has orchestrated a "shell game," employing a convoluted web of shell companies, nominally owned by family members, lieutenants, and/or subordinates, but in reality, controlled by the Debtor. This shell game enabled the Debtor to use and spend and/or transfer millions of dollars of cash and other assets, while concealing his property from creditors.

15. Since his appointment, the Trustee has commenced a number of adversary proceedings in the Chapter 11 Case to, among other things, establish that the Debtor's shell companies were his alter egos and/or that such companies and their assets were equitably owned by the Debtor and in several such adversary proceedings, the Bankruptcy Court has already granted such relief.

16. The Trustee is pursuing the same or substantially similar relief with respect to Hamilton Opportunity in Despins v. ACA Capital Group Ltd, et al. [Adv. Proc. No. 24-05249] (the "Omnibus A.P."). The Trustee refers to and incorporates herein his Amended Complaint filed in the Omnibus A.P. (Omnibus A.P., Docket No. 106). The Trustee further asserts (without waiver of any claims against Buck Esq or related entities or individuals) that Transfers described in this Complaint made via Hamilton Opportunity further utilized Buck Esq as a conduit prior to their receipt by the Defendant. Thus, the Defendant was the initial transferee.

17. The fact patterns in these litigations consistently involve: (i) Debtor-controlled shell companies held by close family members and/or subordinates, (ii) assets purchased with cash from other Debtor-controlled entities and/or transferred to and among shell entities for no consideration, and (iii) the Debtor benefiting from and having control and dominion over such assets.

C. Debtor's Shell Game and Fraud Continues Postpetition

18. As of the Petition Date, all of the Debtor's property held through his alter egos, including the Hamilton Opportunity, became property of the chapter 11 estate. See 11 U.S.C. § 541(a)(1).

19. Following the Petition Date, the Debtor, with blatant disregard for the Bankruptcy Court and his obligations under the Bankruptcy Code, continued to effectuate transfers through numerous alter ego shell companies, including, without limitation, Hamilton Opportunity.

20. None of these postpetition transfers were authorized by the Bankruptcy Court nor were such transfers authorized under the Bankruptcy Code.

D. Transfers Made with Intent to Hinder, Delay, or Defraud Creditors

21. The Transfers at issue in this Complaint were made with the intent to hinder, delay, and/or defraud the Debtor's creditors inasmuch as they were all made through the Debtor's alter-ego shell company operated as a part of the Debtor's shell game.

22. The Debtor intentionally orchestrated his financial affairs in this manner in order to conceal and dissipate millions of dollars in assets while falsely pleading poverty to his many creditors. The Debtor claimed to be destitute while simultaneously spending heavily to maintain a billionaire lifestyle for himself and for his family members and close associates.

23. The assets concealed and dissipated by the Debtor included funds that he obtained from the victims of his cryptocurrency, securities, and other fraud schemes. As a result of this conduct, the Debtor was convicted of multiple felony fraud, money laundering, and racketeering charges in a criminal case pending in the U.S. District Court for the Southern District of New York. See *United States v. Ho Wan Kwok*, case no. 1:23-cr-00118-AT [ECF No. 395] (July 18, 2024 S.D.N.Y.).

24. The Debtor knew and intended that by concealing and dissipating his assets in this manner there would not be sufficient assets remaining to repay his creditors, including the many victims of his frauds. These transfers were thus necessarily made with the intent to hinder, delay, and/or defraud the Debtor's creditors.

E. Tolling of Avoidance Claims

25. On February 15, 2024, the Court entered its Memorandum of Decision and Order Granting in Part Motion to Extend Deadlines [Main Case Docket No. 2921] (the "Tolling Order"), in which the Court, pursuant to Bankruptcy Rule 9006(b), extended the time limitations set forth in Sections 108, 546, and 549 of the Bankruptcy Code for the Trustee to commence avoidance actions through and including August 15, 2024.

26. In the Tolling Order, the Court found that since the Petition Date, the Debtor has, among other things, filed incomplete or inaccurate schedules and statements of financial affairs, failed to provide books and records to the Trustee, and otherwise failed to cooperate with the Trustee, all in flagrant disregard for his obligations as a debtor under the Bankruptcy Code. (Tolling Order at p. 14.)

27. The Debtor's family members and other individuals and entities associated with him have likewise obstructed the Trustee's investigation, as evidenced by the Court's entry of "at least eight orders holding the ... Debtor, his daughter, [Mei] Guo, and entities allegedly controlled by the ... Debtor in contempt for failure to turn over assets and discovery abuse." (Id. at p. 15.) The Court found the "noncompliance with this Court's orders in these jointly administered chapter 11 cases, is extraordinary" (id.), and that, in the face of such obstruction, the Trustee's investigation has been "more than reasonably diligent." (Id. at p. 17.) Since February 2024, the Trustee has filed more than 280 adversary proceedings. (See Main Docket, generally.)

28. On August 14, 2024, the Court entered its Order Granting Second Motion for Extension of Deadline for Trustee to File Avoidance Actions [Main Case Docket No. 3417] (the "Second Tolling Order"), further extending the time limitations set forth in Sections 108, 546, and 549 of the Bankruptcy Code for the Trustee to commence avoidance actions through February 15, 2025, and noting the continued obstacles to the Trustee's investigation and the Trustee's diligence in conducting same (Second Tolling Order at pp. 2-3).

29. On February 14, 2025, the Court entered its Order Granting in Part Third Motion for Extension of Deadline for Trustee to File Avoidance Actions [Main Case Docket No. 4106] (the "Third Tolling Order"), further extending the time limitations set forth in Sections 108, 546, and 549

of the Bankruptcy Code for the Trustee to commence avoidance actions through August 15, 2025, and noting the continued obstacles to the Trustee's investigation and the Trustee's diligence in conducting same (Third Tolling Order at p. 3).

30. The Trustee has acted diligently in investigating and pursuing the claims asserted in this Complaint.

31. In light of, among other things, the extraordinary obstruction that the Trustee has faced in conducting his diligent investigation, the balance of the equities strongly favors equitable tolling of any statutes of limitations applicable to the claims asserted herein.

F. Transfers to Defendant

32. Subsequent to the Petition Date, the Debtor, through his alter ego shell company, Hamilton Opportunity through its conduit Buck Esq, or otherwise, transferred property of the estate to the Defendant (the "Transfers"), including, without limitation, as follows (see SCHEDULE A attached hereto and made a part hereof).

33. At the time of the Transfers, the Debtor had outstanding obligations to creditors of the Debtor's estate.

34. The Defendant was the initial transferee of the Transfers.

FIRST CLAIM

(Claim to Avoid and Recover Unauthorized Postpetition Transfers pursuant to Bankruptcy Code sections 549 and 550(a))

35. The Trustee repeats and realleges the allegations contained in paragraphs 1-34 as if fully set forth herein.

36. The Transfers were made to the Defendant by the Debtor, including through his alter ego, Hamilton Opportunity.

37. The Transfers occurred after the Petition Date.

38. The Transfers were not authorized by the Bankruptcy Court or by the Bankruptcy Code.

39. The Transfers constituted the unauthorized transfer of property of the Debtor's chapter 11 estate.

40. The Transfers are avoidable pursuant to section 549(a) of the Bankruptcy Code.

41. Pursuant to section 550(a) of the Bankruptcy Code, the Trustee is entitled to recover the Transfers, or the value thereof, from the Defendant plus interest thereon to the date of payment and the costs of this action.

PRAYER FOR RELIEF

WHEREFORE, for the foregoing reasons, the Trustee respectfully requests that judgment be entered as follows:

1. On the First Claim, an order (a) declaring that the Transfers in an amount not less than $1,415,104.95 are avoided pursuant to section 549 of the Bankruptcy Code; and (b) an order directing that the Transfers be set aside; and (c) recovery of the Transfers, or the value thereof at the Trustee's option, from the Defendant for the benefit of the Debtor's estate pursuant to section 550(a)(1) of the Bankruptcy Code;
2. Awarding the Trustee pre-judgment interest at the maximum legal rate from the date of the filing of this Complaint to the date of judgment herein; and
3. Such other and further relief as the Court may deem just, proper, or equitable under the circumstances.

Dated: August 15, 2025
New Haven, CT

LUC A. DESPINS, CHAPTER 11 TRUSTEE
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